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[GS II – INTERNATIONAL RELATIONS: INDIA–US RELATIONS, SANCTIONS, SOVEREIGNTY AND INDIA'S STRATEGIC AUTONOMY. • GS III – ECONOMY: ENERGY SECURITY, OIL PRICES, REFINING CAPACITY AND GLOBAL PETROLEUM SUPPLY CHAINS. • GS IV – ETHICS: CORPORATE INTERESTS AND ETHICAL CONCERNS IN FOREIGN POLICY.]

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India–US Oil Nexus: The Reliance Link



> *Explore how Venezuelan crude and Reliance's refining capabilities feature in India–US energy cooperation. Examine the opportunities for energy trade alongside challenges involving sanctions, geopolitics and India's strategic autonomy.*

India–US Oil Nexus: The Reliance Link

The article connects with key UPSC syllabus areas:

- **GS II – International Relations:** India–US relations, sanctions, sovereignty and India's strategic autonomy.
- **GS III – Economy:** Energy security, oil prices, refining capacity and global petroleum supply chains.
- **GS IV – Ethics:** Corporate interests and ethical concerns in foreign policy.

India's refining capabilities connect **Venezuelan crude, global fuel demand and India–US energy cooperation**. Reliance Industries Limited's (RIL) role in this relationship highlights opportunities for trade and energy security, alongside concerns about sanctions, sovereignty and India's strategic autonomy.



The Diplomatic Context

Marco Rubio's visit to Mumbai and Reliance's Jamnagar refinery instead of New Delhi, with External Affairs Minister S. Jaishankar meeting him in Mumbai, drew attention to the engagement's commercial and energy dimensions.

The supplied account interprets the visit as an effort to strengthen an oil-centred strategic partnership, extending beyond the stated objective of advancing a long-pending trade agreement.

Energy Security: The Central Issue

Energy security means ensuring reliable, affordable and uninterrupted energy supplies. For India, it supports economic growth, industrial production, transport and household needs.



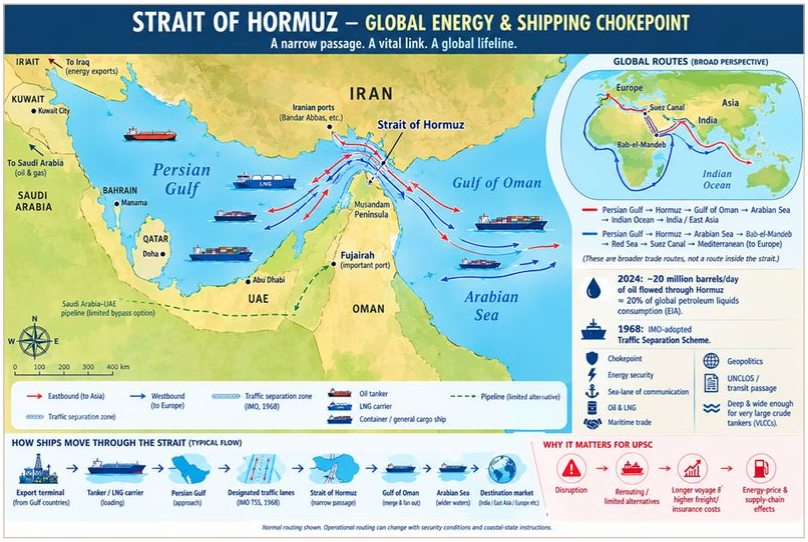
Diversifying energy sources and suppliers can reduce vulnerability to:

- **Dependence on particular suppliers.**
- **Geopolitical disruptions.**
- **Volatile international fuel prices.**

Why Maritime Chokepoints Matter

Chokepoint	Importance for energy trade
Strait of Hormuz	Connects Persian Gulf oil exporters with global markets.
Bab-el-Mandeb	Connects the Red Sea and the Gulf of Aden.

Disruptions at these routes can delay shipments, increase transportation costs, constrain supplies and intensify oil-price volatility.

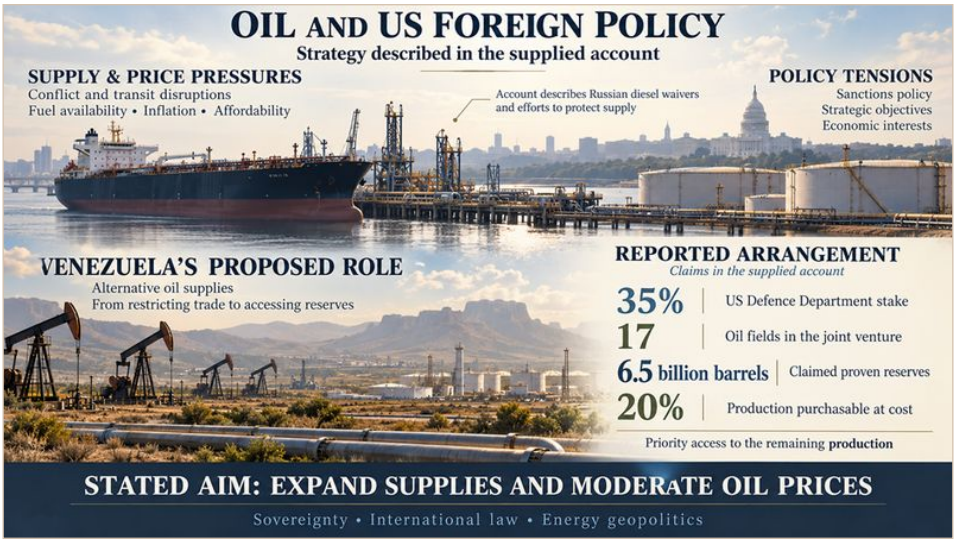




Oil and US Foreign Policy

The supplied account links the US–Iran conflict and disruptions to oil transit routes with supply pressures, inflation and domestic affordability concerns in the United States.

It also describes Russian diesel imports through national-interest waivers and US opposition to attacks on Russian energy facilities as efforts to maintain fuel availability.



These developments illustrate tensions between sanctions policy, strategic objectives and economic interests.

Venezuela's Place in the Strategy

Venezuela is presented as a potential alternative source of oil amid disruptions to Saudi exports and threats to production facilities.

The account describes a shift from sanctions restricting Venezuelan production and trade towards accessing its reserves to strengthen American influence. This raises questions about sovereignty, international law and energy geopolitics.

The Reported US–Venezuela Arrangement

According to the supplied account, an agreement provides the US Defence Department with:

- A 35% stake in a joint venture operating 17 oil fields.
- Access to fields with claimed proven reserves of 6.5 billion barrels.
- The right to purchase 20% of production at cost, with priority access to the remainder.

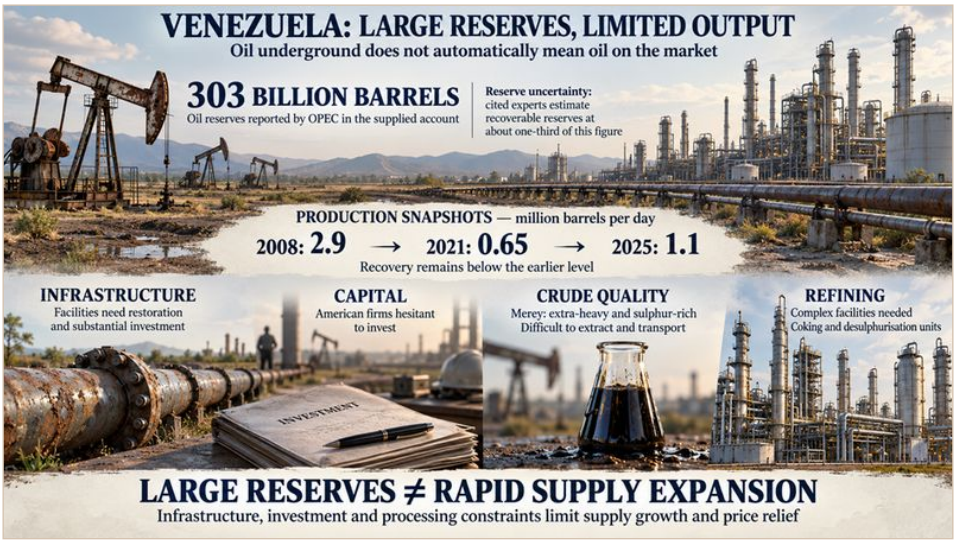
The strategic objective described is to expand supplies and moderate oil prices.

Venezuela: Large Reserves, Limited Output

According to the cited OPEC statistics, Venezuela holds the world's largest oil reserves, estimated at 303 billion barrels. However, large reserves do not automatically translate into high production or reliable exports.

Constraints on Expanding Supply

Constraint	Explanation
Reserve uncertainty	Experts cited in the account estimate recoverable reserves at about one-third of the OPEC-reported figure.
Reduced production	Output fell from 2.9 million barrels per day in 2008 to 0.65 million in 2021, recovering to 1.1 million in 2025.
Infrastructure damage	Production facilities require substantial investment and restoration.
Investment hesitation	American firms remain reluctant to provide the required capital.
Refining limitations	Heavy, sulphur-rich crude requires specialised facilities, limiting the number of suitable refineries.



Why Venezuelan Crude Is Difficult to Process

Venezuelan Merey crude is extra-heavy and sulphur-rich. Its characteristics make extraction and transportation difficult, while refining requires complex facilities equipped with coking and desulphurisation units.

These constraints limit Venezuela's ability to rapidly increase global supplies and ease price pressures.

Reliance's Role in Global Energy Trade

RIL's Jamnagar facilities can process heavy, sulphur-rich crude, making them relevant to refining Venezuelan oil.

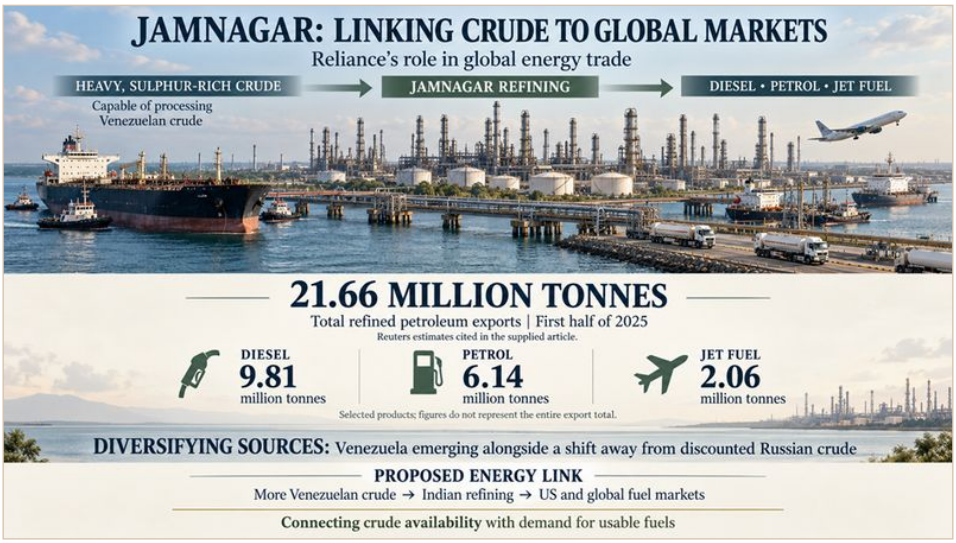
The refinery converts diverse crude varieties into diesel, petrol and jet fuel, connecting crude suppliers with international fuel markets.

Petroleum Exports

According to the cited Reuters estimates, RIL exported 21.66 million tonnes of refined petroleum products in the first half of 2025.

Product	Export volume
Diesel	9.81 million tonnes
Petrol	6.14 million tonnes
Jet fuel	2.06 million tonnes

RIL has also diversified away from discounted Russian crude, with Venezuela emerging as a source.



The Proposed Energy Link

The proposed US strategy involves RIL processing more Venezuelan crude and supplying additional refined fuels to US and global markets.

This gives India's refining sector strategic relevance by linking crude availability with demand for usable petroleum products.

Commercial Agreements and Energy Cooperation

The Reported Brownsville Commitment

RIL reportedly supports the America First Refining project at Brownsville, US, through a 20-year commitment to purchase and handle a major share of its output.

Such arrangements illustrate how corporate commitments can create enduring energy-trade relationships.



Supply and Offtake Agreements

Agreement	Function	Contribution to energy security
Crude-supply agreement	Arranges access to crude oil.	Improves sourcing predictability and supports diversification.
Long-term offtake agreement	Commits a buyer to purchasing future production.	Provides demand certainty and supports infrastructure investment.

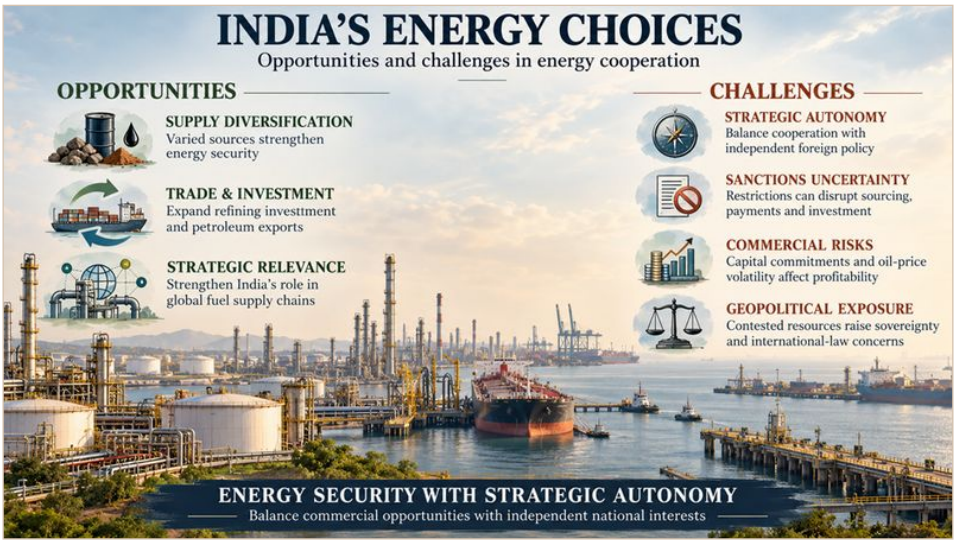
Their benefits depend on pricing, contractual flexibility, supplier reliability and geopolitical risks.

India–US Strategic Clean Energy Partnership

The partnership promotes energy security, clean technology deployment, trade, investment and sustainable growth through five pillars:

- **Power and energy efficiency.**
- **Renewable energy.**
- **Responsible oil and gas.**
- **Sustainable growth.**
- **Emerging fuels and technologies.**

This broader cooperation framework should be distinguished from individual corporate supply and purchase commitments.



Opportunities and Challenges for India

Opportunities

- **Supply diversification: Access to varied energy sources can strengthen energy security.**
- **Trade and investment: Cooperation can expand refining investments and petroleum exports.**
- **Strategic relevance: India's refining capabilities can strengthen its position in global fuel supply chains.**

Challenges

- **Strategic autonomy: India must balance closer cooperation with its independent foreign-policy interests.**
- **Sanctions uncertainty: Changing restrictions can disrupt sourcing, payments and investments.**
- **Commercial risks: Large capital commitments and volatile oil prices can affect profitability.**
- **Geopolitical exposure: Partnerships involving contested resources raise concerns about sovereignty and international law.**

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